Spinoff Model Guide

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Overview of Spinoff Models

This guide covers **spinoff models** as they are presented in the SunPower / Maxeon case study in this course. The model in that case study is complex and required several weeks to build, so we will not walk through every single detail here.

Instead, this guide will **summarize** the key points, explain the motivations for spinoffs, and describe how a spinoff financial model can indicate the potential upside and risk factors in such a transaction.

Spinoff Motivations

While standard M&A deals are typically about EPS accretion/dilution and the expected IRR, spinoffs are motivated primarily by **valuation.**

In a spinoff, the Parent Company creates a new public entity for one of its divisions (the "Spun-Off Company") and distributes shares in the entity to its existing shareholders.

There are other variations, such as **split-offs** (shareholders must choose between shares in the new company and retaining shares in the Parent) and **carve-outs** (the Parent sells the shares in the subsidiary via an IPO).

There are also **divestitures**, whereby a Parent Company sells a specific division to another company or a financial sponsor.

Spinoffs differ from these transactions in a few ways:

1. They are **tax-free** if the Parent Company structures the deal so that it gives up ~80% of its voting and non-voting shares in the subsidiary (this is the requirement in the U.S., but the numbers vary by country).

2. They allow the existing shareholders to **"double dip"** by retaining their shares in the Parent while *also* getting shares in the new Spun-Off Company.

Most Parent Companies pursue **spinoffs** because they believe they are undervalued and would be worth a higher *total value* as separate firms.

For example, the logic in this SunPower / Maxeon deal was as follows:

- **Current Valuation:** The company, a combined solar installer and manufacturer, traded at ~1x Revenue for an Enterprise Value of ~$1.7 billion.

- **Comparable Companies:** Pure-play solar service companies traded at 5 – 6x revenue, while pure-play solar manufacturing companies traded at ~1x revenue.

- **Separate Valuation:** Therefore, the company's manufacturing arm, responsible for ~2/3 of its revenue, might trade at 1x Revenue for a TEV of $1.2 billion, while its service/installation business might trade at 5 – 6x revenue for a TEV of $3.3 – $4.0 billion. As separate entities, the company might now be worth ~3x its old value.

The results would probably **not** be this favorable in real life because there's no guarantee that each division would trade at these multiples, especially given the limited sets of comparable companies.

Also, we must adjust each company's financials for additional corporate overhead and "dis-synergies," and these factors will reduce the total value.

If the Parent Company continually raises capital to fund this subsidiary, that complicates the analysis because we must factor in capital structure differences and post-transaction funding requirements.

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Spinoff Transaction Assumptions

Before building any spinoff model, you need **separate projections** for the Parent and Subsidiary Company. These should ideally be 3-statement projections, but "cash flow only" projections also work if you're in a time crunch.

The SunPower / Maxeon case study has a 3-statement model for each company, but we are not covering them here because there's nothing *specific* to spinoffs in these models.

Once you have these projections, the next step is to make assumptions for the **Distribution Ratio** and the **Proposed Share Price** for the Spun-Off Company.

The **Distribution Ratio** is the number of Spun-Off Company shares created for each Parent Co. share.

For example, if the Parent has 100 shares and the Distribution Ratio is 5, the Spun-Off Company will have 500 shares. Shareholders will get 5 Spun-Off Co. shares per Parent share.

In this deal, each SunPower shareholder will receive 1 Maxeon share for every 8 SunPower shares, which is a **0.1250x Distribution Ratio**.

SunPower has set Maxeon's initial share price to $32.40, which implies the following share count, Distribution Value, and Equity Value:

Transaction Assumptions:	Units:	
Transaction Close Date:	*Date*	2020-12-31
Valuation/Analysis Date:	*Date*	2020-01-31
Distribution Ratio:	*#*	0.1250 x
Shares Created in New Company:	*Millions*	22.22
New Company Share Price:	*$ as Stated*	$ 32.40
New Company's Distribution Value:	*$ M*	$ 719.8
TZS Investment Post-Transaction:	*$ M*	298.0
New Company's Post-Money Equity Value:	*$ M*	1,017.8
TZS Implied Ownership:	*%*	29.280%
New Company's Post-Money Share Count:	*Millions*	31.413

This deal is unusual because another company, TZS, is also investing $298 million, giving it ~29% ownership and increasing the share count and Equity Value.

It's most likely doing this because it **needs additional funding** as an independent entity, as it's currently cash-flow-negative. Maxeon also raises a $100 million Revolver with a $10 million draw and a $200 million Convertible Bond.

Other borrowing facilities and expenses must be repaid when the deal closes, so we can use this information to calculate Maxeon's Cash balance:

	A B	C	D	E
28		**Adjustments to Cash, Equity, Equity Value, and Enterprise Value:**		
29				
33		**Pre-Transaction Cash Balance:**	*$ M*	**$ 116.6**
34		(-) Promissory Note Payment:	*$ M*	(100.0)
35		(-) Reimbursed Transaction Expenses:	*$ M*	(25.0)
36		(+) Revolver Proceeds:	*$ M*	8.5
37		(+) Convertible Senior Note Proceeds:	*$ M*	191.0
38		(-) Prepaid Forward Facility:	*$ M*	(40.0)
39		**Cash Balance Prior to TZS Investment:**	*$ M*	**151.1**
40				
41		Excess / (Deficit) Cash:	*$ M*	101.1

If Maxeon has Excess Cash after all these adjustments, it must pay this amount to SunPower. If it's negative, SunPower must instead pay this amount to Maxeon to bring its Cash up to the $50 million minimum level.

This setup is uncommon but may happen when the Parent explicitly funds the Subsidiary.

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Balance Sheet Adjustments

In the next step, you adjust *each company's* Balance Sheet based on the changes in Cash, Debt, and Equity in the deal and the Assets and Liabilities that go to each entity.

Unfortunately, there's no universal "rule" for doing this because the transferred Assets and Liabilities vary in each deal; you need to find the filings that disclose all the transfers and inter-company adjustments.

Maxeon's Balance Sheet is easier to adjust because we can follow the Cash and Debt calculations in the previous section and the transferred Assets and Liabilities from the filings.

The **Equity Adjustment** equals the Total Asset Adjustments minus the Total Liability Adjustments, plus the $298 million TZS Investment, plus the $52 million Equity component of the Convertible Bond raised in the deal.

		Projected:	Transaction Adjustments:		
New Company - Balance Sheet:	***Units:***	**FY20**	**Debit**	**Credit**	**FY20**
ASSETS:					
Current Assets:					
Cash & Cash Equivalents:	*$ M*	$ 116.6	$ 497.5	$ (266.1)	$ 348.0
Accounts Receivable:	*$ M*	86.6	-	-	86.6
Inventory:	*$ M*	153.7	-	-	153.7
Other Current Assets:	*$ M*	149.5	-	(6.7)	142.7
Total Current Assets:	*$ M*	**506.4**			**731.0**
Long-Term Assets:					
Net Plants, Property & Equipment:	*$ M*	308.2	-	(1.3)	306.9
Operating Lease Assets:	*$ M*	21.1	-	(7.8)	13.3
Other Intangible Assets:	*$ M*	6.8	-	(1.2)	5.6
Equity Investments:	*$ M*	35.4	-	-	35.4
Other Long-Term Assets:	*$ M*	57.9	-	-	57.9
Total Long-Term Assets:	*$ M*	**429.4**			**419.1**
TOTAL ASSETS:	*$ M*	**$ 935.7**			**$ 1,150.1**
LIABILITIES & EQUITY:					
Current Liabilities:					
Accounts Payable & Accrued Liabilities:	*$ M*	$ 244.4	$ (22.8)	$ -	$ 221.7
Total Contract Liabilities:	*$ M*	89.8	-	-	89.8
Total Current Liabilities:	*$ M*	**334.3**			**311.5**
Long-Term Liabilities:					
Total Debt:	*$ M*	76.5	-	147.3	223.8
Operating Lease Liabilities:	*$ M*	23.1	(9.2)	-	13.9
Other Long-Term Liabilities:	*$ M*	57.5	(1.4)	-	56.1
Total Long-Term Liabilities:	*$ M*	**157.1**			**293.9**
Total Liabilities:	*$ M*	**$ 491.4**			**$ 605.4**
Common Shareholders' Equity:	*$ M*	**$ 438.1**	**$ -**	**$ 100.3**	**$ 538.4**
Noncontrolling Interests:	*$ M*	6.3	-	-	6.3
Total Equity:	*$ M*	**$ 444.4**			**$ 544.7**
TOTAL LIABILITIES & EQUITY:	*$ M*	**$ 935.7**			**$ 1,150.1**
Balance Sheet Check:		*OK!*			*OK!*

Note that under U.S. GAAP, Convertible Bonds are rarely split into separate Debt and Equity components anymore, so this last adjustment is unlikely to apply to most deals (and even the TZS investment is unusual and not a standard spinoff feature).

Parent Company - Balance Sheet:	Units:	Projected: FY20	Transaction Adjustments: Debit	Credit	FY20
ASSETS:					
Current Assets:					
Cash & Cash Equivalents:	$ M	$ 431.0	$ 226.1	$ (116.6)	$ 540.5
Accounts Receivable:	$ M	155.7	-	(86.6)	69.1
Inventory:	$ M	222.4	-	(153.7)	68.8
Other Current Assets:	$ M	224.0	6.7	(149.5)	81.3
Total Current Assets:	$ M	**1,033.1**			**759.6**
Long-Term Assets:					
Net Plants, Property & Equipment:	$ M	331.3	1.3	(308.2)	24.4
Operating Lease Assets:	$ M	46.7	7.8	(21.1)	33.3
Other Intangible Assets:	$ M	8.9	1.2	(6.8)	3.3
Equity Investments:	$ M	238.2	-	(35.4)	202.8
Other Long-Term Assets:	$ M	214.4	-	(57.9)	156.6
Total Long-Term Assets:	$ M	**839.4**			**420.3**
TOTAL ASSETS:	$ M	**$ 1,872.6**			**$ 1,180.0**
LIABILITIES & EQUITY:					
Current Liabilities:					
Accounts Payable & Accrued Liabilities:	$ M	$ 402.6	$ (244.4)	22.8	$ 180.9
Total Contract Liabilities:	$ M	159.4	(89.8)	-	69.5
Total Current Liabilities:	$ M	**561.9**			**250.4**
Long-Term Liabilities:					
Total Debt:	$ M	1,058.5	(76.5)	-	982.0
Operating Lease Liabilities:	$ M	51.0	(23.1)	9.2	37.1
Other Long-Term Liabilities:	$ M	152.9	(57.5)	1.4	96.8
Total Long-Term Liabilities:	$ M	**1,262.4**			**1,115.8**
Total Liabilities:	$ M	**$ 1,824.3**			**$ 1,366.3**
Common Shareholders' Equity:	$ M	**$ 35.7**	**$ (438.1)**	**$ 209.9**	**$ (192.5)**
Noncontrolling Interests:	$ M	12.5	(6.3)	-	6.2
Total Equity:	$ M	**$ 48.2**			**$ (186.3)**
TOTAL LIABILITIES & EQUITY:	$ M	**$ 1,872.6**			**$ 1,180.0**
Balance Sheet Check:		*OK!*			*OK!*

The Equity Adjustment removes Maxeon's Equity and also factors in all the other "non-separation adjustments" that are *not* just Assets or Liabilities going to Maxeon.

On SunPower's Balance Sheet, we **remove Maxeon's Assets and Liabilities** and reflect several additional adjustments the company disclosed in the filings.

For example, if Maxeon has $20 million in AR, we **credit** SunPower's AR for this $20 million, i.e., we subtract it.

The **Equity Adjustments** differ slightly for the Parent.

The net amount of all the "smaller" Asset and Liability adjustments still factors in, but we also **debit** (subtract) Maxeon's Common Shareholders' Equity.

However, we do NOT factor in the Assets and Liabilities that go to Maxeon! The "Credit" adjustments on the Assets side and the "Debit" adjustments on the L&E side do not factor in.

This may seem counterintuitive, but the reasoning is simple: Maxeon's Balance Sheet should *already* be in balance, so removing *all* its Assets, Liabilities, and Equity from SunPower's Balance Sheet should not cause the SPWR Balance Sheet to go out of balance.

Therefore, we care *only* about the additional adjustments beyond these, as these are the ones that might cause SunPower's Balance Sheet to go out of balance.

Beyond the smaller items listed in the filings, the Cash that SunPower pays to Maxeon, the financing proceeds, and the reimbursed transaction expenses also factor in.

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Transaction-Adjusted Equity Value and Enterprise Value

Next, you calculate each company's **Transaction-Adjusted Equity Value and Enterprise Value** because these are required inputs for the valuation and other schedules.

It's best to start with the **Spun-Off Company's numbers** because you should already have its Equity Value from the first step in this process with the Distribution Ratio.

In the bridge, you factor in all the normal items on its most recent Balance Sheet, but you *also include* the transaction adjustments from the previous section.

Some of these items, such as the NOLs, are more complex to adjust and may require recalculations based on the Valuation Allowances and the new Tax Rate (if applicable).

The Debt might not come from the Balance Sheet at all, depending on the new issuances and the repayment/refinancing of existing issuances in the deal:

Post-Money Equity Value:	*$ M*	**$ 1,017.8**
(-) Cash & Cash-Equivalents:	*$ M*	(355.2)
(-) Financial Investments:	*$ M*	-
(-) Equity Investments:	*$ M*	(34.4)
(-) Other Non-Core Assets, Net:	*$ M*	-
(-) Net Operating Losses:	*$ M*	(12.1)
(+) Total Debt & Finance Leases:	*$ M*	271.2
(+) Preferred Stock:	*$ M*	-
(+) Operating Leases:	*$ M*	-
(+) Noncontrolling Interests:	*$ M*	5.3
(+) Unfunded Pensions:	*$ M*	-
Transaction-Adjusted Enterprise Value:	*$ M*	**$ 892.6**

Distribution Value + TZS investment.

Maxeon's most recent Balance Sheet as of the announcement plus the transaction adjustments.

SunPower's adjustments have one major difference: **Its Transaction-Adjusted Equity Value equals its *Current Equity Value* minus Maxeon's assumed ~$720 million Distribution Value.**

In other words, we assume that SunPower's Equity Value will *fall* by Maxeon's "Distribution Value" before the TZS investment.

Obviously, this assumption contradicts the basic rationale of this deal: SunPower should trade at *higher multiples* as a separate, pure-play entity focused on solar services.

However, this assumption is in place strictly for *accounting purposes*. We're saying that its Equity should be worth less "on paper" after the deal closes, but *in the market*, its share price will rise significantly once it starts to trade at a higher multiple.

The approach with the bridge items is similar; it's still based on the most recent Balance Sheet before the deal plus the transaction adjustments for each item:

Transaction-Adjusted Equity Value:	$ M	$ 794.4
(-) Cash & Cash-Equivalents:	$ M	(574.3)
(-) Financial Investments:	$ M	-
(-) Equity Investments:	$ M	(191.2)
(-) Other Non-Core Assets, Net:	$ M	-
(-) Net Operating Losses:	$ M	(32.3)
(+) Total Debt & Finance Leases:	$ M	864.2
(+) Preferred Stock:	$ M	-
(+) Operating Leases:	$ M	-
(+) Noncontrolling Interests:	$ M	5.0
(+) Unfunded Pensions:	$ M	-
Transaction-Adjusted Enterprise Value:	$ M	$ 865.8

Current Equity Value - Maxeon Distribution Value.

SunPower's most recent Balance Sheet as of the announcement plus the transaction adjustments.

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Income Statement and Cash Flow Statement Adjustments

We'll start with adjustments to the **Parent's financial statements** because some will flow through to the Spun-Off Company (Maxeon) statements. Here's a summary:

- **Revenue and Expenses:** Remove and reallocate all the Spun-Off Company's line items, including interest income and expense, D&A, NCI and Equity Investment lines, etc.
- **Funding Sources:** If the Parent has been funding the Spun-Off Company, reverse the additional interest expense and shares from this funding.
- **Taxes:** Recalculate the Parent Company's taxes based on its standalone effective tax rate.
- **Cash Flow Statement:** Remove all the line items related to the Spun-Off Company's financials (the Change in Working Capital lines, CapEx, etc.). **Also, remove all Debt and Equity issuances made *specifically to fund* the Spun-Off Company.**
- **EPS Accretion / Dilution:** You calculate this in a spinoff based on the Net Income and Share Count after these changes, but it's not particularly insightful because there's no "price paid" or "proceeds received." So, it mostly just tells you whether the Spun-Off Company has higher or lower margins than the Parent.

Here are the highlights from these adjustments, with the more noteworthy items circled in red:

Parent Company - Income Statement:	Units:	Separated Company: FY21	FY22	FY23	FY24
Parent - Total Revenue:	$ M	$ 2,458.8	$ 2,947.9	$ 3,489.4	$ 4,079.2
(-) Sub Co.'s Revenue:	$ M	(1,061.0)	(1,308.9)	(1,586.4)	(1,881.3)
Post-Transaction Revenue:	$ M	**1,397.8**	**1,639.0**	**1,903.0**	**2,197.9**
Parent - Cost of Revenue:	$ M	(2,072.0)	(2,421.6)	(2,830.4)	(3,266.9)
(+) Sub Co.'s Cost of Revenue:	$ M	929.5	1,109.9	1,332.6	1,561.5
Post-Transaction Cost of Revenue:	$ M	**(1,142.5)**	**(1,311.7)**	**(1,497.8)**	**(1,705.4)**
Post-Transaction Gross Profit:	$ M	**255.3**	**327.3**	**405.2**	**492.5**
Parent - Operating Expenses:	$ M	(366.4)	(412.7)	(488.5)	(558.9)
(+) Sub Co.'s Operating Expenses:	$ M	212.2	238.2	277.6	282.2
(+) Corp. Overhead Allocated to Sub Co.:	$ M	18.8	18.8	18.8	18.8
(-) One-Time Transaction Fees:	$ M	(23.6)	-	-	-
(+) Amortization Allocated to Sub Co.:	$ M	7.1	7.1	7.1	7.1
(+) Depreciation Allocated to Sub Co.:	$ M	2.7	2.7	2.7	2.7
Post-Transaction Operating Expenses:	$ M	**(149.1)**	**(145.9)**	**(182.3)**	**(248.1)**
Post-Transaction Operating Income:	$ M	**106.1**	**181.4**	**222.8**	**244.4**
(-) Parent's Interest Expense:	$ M	(58.3)	(66.2)	(71.0)	(76.7)
(+) Sub Co.'s Interest Expense:	$ M	8.4	6.4	8.2	5.0
(-) Sub Co.'s Non-Cash Accretion:	$ M	(2.0)	(2.0)	(2.0)	(2.0)
(+) Interest Expense Reduction from Sub Co. Funding:	$ M	4.8	8.9	11.7	13.1
(+) Parent's Interest Income:	$ M	3.0	4.0	4.8	6.1
(-) Sub Co.'s Interest Income:	$ M	-	-	-	-
(+) Parent's Other Income:	$ M	10.0	10.0	10.0	10.0
(-) Sub Co.'s Other Income:	$ M	(5.8)	(5.8)	(5.8)	(5.8)
Post-Transaction Pre-Tax Income:	$ M	**66.4**	**136.8**	**178.8**	**194.3**
(-) Income Tax Provision / (Benefit):	$ M	(14.6)	(30.1)	(39.3)	(42.7)
Net Income:	$ M	**51.8**	**106.7**	**139.5**	**151.5**

Parent Company - Cash Flow Statement:	Units:	Separated Company: FY21	FY22	FY23	FY24
(+) Debt Issuances:	$ M	153.6	7.5	117.3	0.8
(-) Debt Repayments:	$ M	(66.9)	(5.0)	(35.7)	(0.8)
(+) Debt Issuances to Fund Maxeon:	$ M	87.5	75.0	50.0	25.0
(-) Removal of Debt Issuances to Fund Maxeon:	$ M	(87.5)	(75.0)	(50.0)	(25.0)
(+) Common Stock Issuances:	$ M	87.5	75.0	50.0	25.0
(-) Removal of Stock Issuances to Fund Maxeon:	$ M	(87.5)	(75.0)	(50.0)	(25.0)
(+) Contributions from Noncontrolling Interests:	$ M	(1.5)	(3.0)	(5.0)	(7.5)
(-) Distributions to Noncontrolling Interests:	$ M	(0.3)	(0.6)	(1.0)	(1.5)
(+/-) Other Items:	$ M	(25.8)	(25.8)	(25.8)	(25.8)
Cash Flow from Financing:	$ M	**59.1**	**(26.9)**	**49.8**	**(34.7)**

Many adjustments, such as the reallocated D&A and corporate overhead, flow through to Maxeon's statements.

Also, the $50 – $175 million in annual funding that Maxeon was projected to receive from SunPower now goes away since they become separate entities.

There may also be **dis-synergies** after the deal closes because the companies may have to spend more on functions such as IT, HR, and accounting.

These dis-synergies are *the opposite* of normal synergies in a merger model. They appear after spinoffs because it generally costs more for two smaller companies to operate separately than to operate together as one larger entity:

			Separated Company:			
New Company - Income Statement:		*Units:*	FY21	FY22	FY23	FY24
Post-Transaction Revenue:		*$ M*	$ 1,061.0	$ 1,308.9	$ 1,586.4	$ 1,881.3
(-) Post-Transaction Cost of Goods Sold (COGS):		*$ M*	(929.5)	(1,109.9)	(1,332.6)	(1,561.5)
Post-Transaction Gross Profit:		*$ M*	**131.6**	**198.9**	**253.8**	**319.8**
Sub Co. - Operating Expenses:		*$ M*	(212.2)	(238.2)	(277.6)	(282.2)
(-) Corp. Overhead Allocated to Sub Co.:		*$ M*	(18.8)	(18.8)	(18.8)	(18.8)
(-) Annual Dis-Synergies:		*$ M*	(10.0)	(10.0)	(10.0)	(10.0)
(-) Amortization Allocated to Sub Co.:		*$ M*	(7.1)	(7.1)	(7.1)	(7.1)
(-) Depreciation Allocated to Sub Co.:		*$ M*	(2.7)	(2.7)	(2.7)	(2.7)
Post-Transaction Operating Expenses:		*$ M*	**(250.8)**	**(276.8)**	**(316.2)**	**(320.8)**
Operating Income:		*$ M*	**(119.2)**	**(77.8)**	**(62.4)**	**(1.0)**
(-) Interest Expense:		*$ M*	(8.4)	(6.4)	(8.2)	(5.0)
(-) Interest Expense on New Debt:		*$ M*				
(-) Commitment Fees & Amortization of Issuance Fees:		*$ M*				
(+) Reversal of Non-Cash Accretion:		*$ M*	2.0	2.0	2.0	2.0
(-) Portion of Parent's Interest Expense:		*$ M*	(18.0)	(17.0)	-	-
(+) Reversal of Parent's Interest Expense:		*$ M*	18.0	17.0	-	-
(+) Interest Income:		*$ M*	-	-	-	-
(+) Other Income, Net:		*$ M*	5.8	5.8	5.8	5.8
Pre-Tax Income:		*$ M*	**(119.9)**	**(76.5)**	**(62.8)**	**1.7**
(-) Income Tax Provision / (Benefit):		*$ M*	24.0	15.3	12.6	(0.3)
Net Income:		*$ M*	**(95.9)**	**(61.2)**	**(50.3)**	**1.4**

Many of these lines are blank because we have not yet completed the required supplemental schedules (see the next section). It's impossible to calculate the Interest Expense on the New Debt until we know how much Maxeon draws on in each period, for example.

The **Tax Rate** is slightly lower because Maxeon is relocating its headquarters to Singapore in this deal, so it falls to ~20%.

We do NOT calculate EPS accretion/dilution for the Spun-Off Company because it doesn't make sense – as it never had a separate share count or EPS pre-transaction.

As a direct result of this deal and the loss in funding from SunPower, Maxeon's Cash balance turns negative, so it will need additional funding post-transaction:

			Separated Company:			
New Company - Cash Flow Statement:		***Units:***	**FY21**	**FY22**	**FY23**	**FY24**
(+) Debt Issuances:		*$ M*	360.0	9.0	351.0	-
(-) Debt Repayments:		*$ M*	(400.0)	(10.0)	(390.0)	-
(+) Revolver Draws / (-) Repayments:		*$ M*				
(+) Issuances of Common Stock:		*$ M*	-	-	-	-
(+) Common Stock Issued to Meet Minimum Cash:		*$ M*				
(+) Net Parent Contribution:		*$ M*	175.0	150.0	100.0	50.0
(-) Removal of Net Parent Contribution:		*$ M*	(175.0)	(150.0)	(100.0)	(50.0)
Cash Flow from Financing:		*$ M*	**(40.0)**	**(1.0)**	**(39.0)**	**-**
FX Rate Effects:		*$ M*	0.2	0.2	0.2	0.2
Net Change in Cash:		*$ M*	**(231.4)**	**(134.3)**	**(127.2)**	**(35.6)**
Beginning Cash:		*$ M*	**348.0**	**116.6**	**(17.7)**	**(144.9)**
Ending Cash:		*$ M*	**116.6**	**(17.7)**	**(144.9)**	**(180.5)**

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Supplemental Schedules

After a spinoff, adjusting the financial statements and reallocating line items may not be enough.

One big issue is that **the companies' financing plans and capital structures might change**, which creates the need for new/revised Debt & Equity schedules.

Also, each company's **tax situation** might change because the Deferred Tax Assets and Liabilities and Valuation Allowances might change, and items such as Stock-Based Compensation and the Amortization of Intangible Assets could be shifted around.

We'll walk through the supplemental schedules for the capital structure and tax differences in this section.

Debt & Equity Schedule

Post-deal financing is mostly an issue for the **Spun-Off Company** because it might not receive funding from the Parent anymore. The basic mechanics are simple:

1. Determine if the company needs **additional funding in the period** based on its pre-financing cash flows, Beginning Cash, and Minimum Cash.

2. If it **does not**, assume it uses its excess cash flow to repay its existing Debt, such as the Revolver.

3. If it **does**, draw on the Debt first because it tends to be the cheapest financing source.

4. Once the Debt Draw is **maxed out**, switch to Equity funding for any additional needs.

5. Calculate the **Interest Expense**, Fees, and Amortization (if applicable) on the additional Debt issuances; increase the **Share Count** by the additional shares issued.

Here's the schedule for Maxeon in the baseline scenario, with a few notes below:

	A B C	J	K	L	M	N
169						
170			Separated Company:			
171	**New Company - Debt & Equity Schedule:**	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**
172						
173	(+) Net Change in Cash Before New Financing:		$ (240.8)	$ (143.4)	$ (138.7)	$ (47.3)
174	(+) Beginning Cash:		348.0	97.2	50.0	50.0
175	**Ending Cash Before Financing:**		**107.2**	**(46.2)**	**(88.7)**	**2.7**
176	(-) Minimum Cash Balance:		(50.0)	(50.0)	(50.0)	(50.0)
177	**(+) Funding Surplus / (-) Deficit:**		**57.2**	**(96.2)**	**(138.7)**	**(47.3)**
178						
179	Debt or Equity Funding Required:		-	96.2	138.7	47.3
180	(+) Revolver Draw / (-) Repayment:		(10.0)	96.2	3.8	-
181	(+) Additional Equity Issuance:		-	-	134.9	47.3
182						
183	Drawn Revolver:	10.0	-	96.2	100.0	100.0
184	Undrawn Revolver:	90.0	100.0	3.8	-	-
185						
186	(+) Interest Expense:		0.5	-	4.6	4.8
187	(+) Undrawn Commitment Fee:		1.4	1.5	0.1	-
188	(+) Amortization of Issuance Fees:		0.3	0.3	0.3	0.3
189	**Total Revolver Interest Expense:**		**2.1**	**1.8**	**4.9**	**5.1**
190						
191	Convertible Notes Outstanding:	200.0	200.0	200.0	200.0	200.0
192						
193	(+) Interest Expense:		13.0	13.0	13.0	13.0
194	(+) Amortization of Convertible Discount:		10.4	10.4	10.4	10.4
195	(+) Amortization of Issuance Fees:		1.8	1.8	1.8	1.8
196	**Total Convertible Interest Expense:**		**25.2**	**25.2**	**25.2**	**25.2**

The **Amortization of the Convertible Bond Discount** is unrelated to the company's ongoing funding needs; it's there because of the Convertible Bond Maxeon raised in the spinoff. It's also more common under IFRS now (the accounting rules changed after this deal, and most U.S. companies no longer split Convertibles into Debt and Equity components).

The Revolver has a Maximum Draw of $100 million, so Equity must fund anything beyond that. This assumption is a bit questionable because the company could easily afford more Debt funding via a Term Loan or another Convertible Bond, both of which would be cheaper than traditional Equity (see the case presentation).

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Tax Schedules

There are no real mechanical differences in the Tax Schedules.

The differences all relate to the "starting assumptions": Most of the NOL balance gets reallocated from SunPower to Maxeon, and some of the Amortization of Intangibles and Stock-Based Compensation are also reallocated.

As a result, SunPower uses up its now-smaller NOL balance as it becomes profitable early on, while Maxeon's NOL balance builds up until it finally turns a profit in the final year:

			Separated Company:		
New Company - Tax Schedule:	**FY20**	**FY21**	**FY22**	**FY23**	**FY24**
Book Pre-Tax Income:		(147.3)	(103.6)	(93.1)	(28.5)
(+) Stock-Based Compensation:		8.1	10.1	12.2	14.4
(+) Asset Impairments:		-	-	-	-
(+) Amortization of Acquired Intangibles:		3.2	5.2	6.3	7.5
(+) Amortization Allocated to Sub Co.:		7.1	7.1	7.1	7.1
Taxable Income:		**(128.8)**	**(81.2)**	**(67.5)**	**0.6**
Beginning Net Operating Loss (NOL) Balance:		791.9	920.7	1,001.9	1,069.3
(+) NOLs Created:		128.8	81.2	67.5	-
(-) NOLs Used:		-	-	-	(0.6)
Ending NOL Balance:	**791.9**	**920.7**	**1,001.9**	**1,069.3**	**1,068.8**
NOL-Adjusted Taxable Income:		(128.8)	(81.2)	(67.5)	-
Cash Taxes Payable:		-	-	-	-
Deferred Income Taxes:		**(29.5)**	**(20.7)**	**(18.6)**	**(5.7)**

The same types of items are still *not* cash-tax-deductible (Amortization, SBC, Asset Impairments, etc.); other than that, the changes in the Interest Expense and the reallocation of Maxeon's revenue and expenses make the biggest difference.

Once you have finished these supplemental schedules, you can link all the line items on the separate financial statement projections. After these changes, Maxeon maintains its $50 million Minimum Cash since it raises enough Debt and Equity to keep its Cash at that level:

118						
119			Separated Company:			
120	New Company - Cash Flow Statement:	FY20	FY21	FY22	FY23	FY24
121						
154	(+) Debt Issuances:		360.0	9.0	351.0	-
155	(-) Debt Repayments:		(400.0)	(10.0)	(390.0)	-
156	(+) Revolver Draws / (-) Repayments:		(10.0)	100.0	-	-
157	(+) Issuances of Common Stock:		-	-	-	-
158	(+) Common Stock Issued to Meet Minimum Cash:		-	46.3	157.5	53.0
159	(+) Net Parent Contribution:		175.0	150.0	100.0	50.0
160	(-) Removal of Net Parent Contribution:		(175.0)	(150.0)	(100.0)	(50.0)
161	**Cash Flow from Financing:**		**(50.0)**	**145.3**	**118.5**	**53.0**
162						
163	FX Rate Effects:		0.2	0.2	0.2	0.2
164						
165	**Net Change in Cash:**		**(280.2)**	**(17.8)**	**(0.0)**	**0.0**
166						
167	**Beginning Cash:**		**348.0**	**67.8**	**50.0**	**50.0**
168	**Ending Cash:**		**67.8**	**50.0**	**50.0**	**50.0**

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Balance Sheet Forecasts

Even with these supplemental schedules, additional links, and Income Statement and Cash Flow Statement adjustments, one problem remains: **We do not yet have Balance Sheet *projections* for the companies – only the immediate post-transaction Balance Sheets.**

In theory, we could skip this process of forecasting the companies' separate Balance Sheets because it doesn't factor into the valuations directly; we just need cash-flow forecasts and sets of comparable companies.

However, lenders and investors might request the Balance Sheet forecasts, and they do factor into certain credit stats and ratios, such as Debt / Total Capital and Debt / Equity.

The most important point is to approach the Balance Sheet projections as you would in a traditional 3-statement model, linking to the previous version of each item plus/minus its corresponding changes on the Cash Flow Statement – but to *also* do that for the short-term operational items, such as Accounts Receivable and Inventory!

In a normal 3-statement model, you forecast these line items directly on the Balance Sheet by making them percentages of Income Statement lines, such as Revenue, COGS, and Operating Expenses. Then, you reflect the *changes* in these items on the Cash Flow Statement.

In a spinoff analysis, however, you should have *already* subtracted the Spun-Off Company's contributions within the Change in Working Capital section on the Parent's CFS.

Since you already have the "change" in each line item, it's easier to make the number in the current period equal *the previous number plus/minus this corresponding change on the CFS*.

Here's an example from SunPower's projections:

	A B	C	J	K	L	M	N
86							
87				Separated Company:			
88		Parent Company - Balance Sheet:	FY20	FY21	FY22	FY23	FY24
89		ASSETS:					
90		Current Assets:					
91		Cash & Cash Equivalents:	$ 540.5	$ 738.5	$ 855.9	$ 1,092.1	$ 1,196.4
92		Accounts Receivable:	69.1	=+J92-K150	194.0	225.8	261.2
93		Inventory:	68.8	193.1	221.2	251.7	286.0
94		Other Current Assets:	81.3	212.6	247.0	284.5	326.7
95		Total Current Assets:	759.6	1,309.2	1,518.0	1,854.1	2,070.3
96							
97		Long-Term Assets:					
98		Net Plants, Property & Equipment:	24.4	22.4	32.7	37.4	47.8
99		Operating Lease Assets:	33.3	34.9	38.6	44.1	53.5
100		Other Intangible Assets:	3.3	11.1	24.7	39.8	64.2
101		Equity Investments:	202.8	221.4	244.3	271.7	304.6
102		Other Long-Term Assets:	156.6	136.9	101.7	63.7	71.4
103		Total Long-Term Assets:	420.3	426.7	442.0	456.7	541.5
104							
105		TOTAL ASSETS:	$ 1,180.0	$ 1,735.8	$ 1,959.9	$ 2,310.8	$ 2,611.8

Most of these items use the standard approach (Old Version - Corresponding CFS Lines), but for the Working Capital lines, we *also* use that approach since the CFS already reflects the "separated" change in each WC line.

One final point here is that you must reflect all *new items* and *new adjustments* appropriately as well.

For example, with Common Shareholders' Equity, yes, Net Income, SBC, Stock Issuances, and FX Rate Effects all flow in from the Cash Flow Statement…

…but so does the *Removal of the Stock Issuances* to fund Maxeon since Maxeon is now a separate entity. Therefore, CSE increases by much less over time.

Maxeon follows the same patterns, and the same types of new items and adjustments must be reflected on its statements: The "canceled out" Parent funding, the new Convertible Bond amortization, the Revolver Draws, the additional Equity issuances, etc.

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Valuation

Once you have the separate financial statement projections for the Parent (SunPower) and the Spun-Off Company (Maxeon), you can **value** each entity.

This is the whole point of a spinoff: To increase the Parent's per-share value because the companies are worth more as separate entities than they are together.

Little in this process is specific to spinoffs; you still pick comparable public companies (Public Comps) based on financial/industry/geographic criteria, and you still build DCF analyses based on Unlevered FCF.

In many cases, you **skip** the Precedent Transactions because they're less relevant when valuing new standalone public companies.

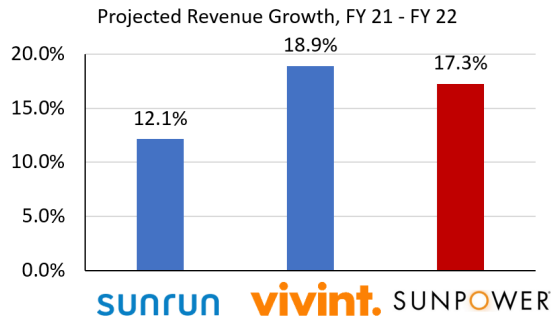
A few other points worth noting are as follows:

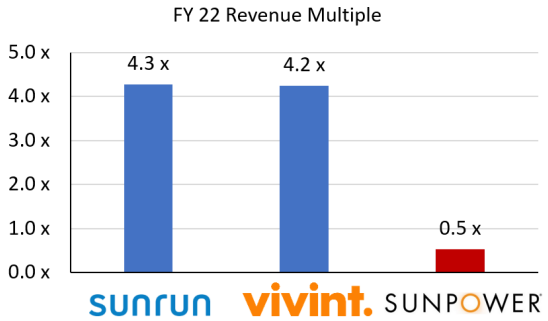
1. **Spun-Off Company** – All the financials in the Public Comps and DCF should be based on Spun-Off Co's *separate numbers after dis-synergies and all the other adjustments*. You should use the Transaction-Adjusted Equity Value and Enterprise Value and all the bridge items from this calculation. There is no "historical Beta" for the Cost of Equity and WACC calculations, so use the re-levered Beta from the Public Comps.

2. **Parent Company** – Use the Parent's Transaction-Adjusted Equity Value and Enterprise Value and its financials *after* removing Spun-Off Co's numbers, reallocating corporate overhead, etc. You *can* use the historical Beta here because this Parent Company has a

stock-price history, but you normally use a Cost of Equity average that includes the peer companies' performance as well.

Avoid obsessing over minutiae with the valuation, such as which specific adjustment to use in which spot, and **focus on the big picture:**





If the spinoff is a great idea because the companies are dramatically undervalued, it should be obvious to a 5-year-old child, as shown above. The deal is a bad idea if someone needs a Ph.D. to understand the math.

The DCF analyses are also very standard: Use the separate companies' financials, make sure your share counts are correct (the Spun-Off Company's should be based on the Distribution Ratio and any additional equity investments in the deal, while the Parent's should remain the same), and make reasonable long-term forecasts for Unlevered FCF.

The specific DCFs used here are a bit different due to the **nature of these companies** – heavy operating losses in the early years before reaching profitability – but that's an issue with the solar manufacturing industry and not something specific to spinoffs.

Because of these heavy losses, we forecast the Cash Taxes directly based on the NOL creation and usage, as shown below:

Unlevered Free Cash Flow Projections:	Units:	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Total Revenue:	$ M	$ 839.3	$ 1,061.0	$ 1,308.9	$ 1,586.4	$ 1,881.3	$ 2,220.0	$ 2,586.3
Growth Rate:	%	(30.0%)	26.4%	23.4%	21.2%	18.6%	18.0%	16.5%
Earnings Before Interest & Taxes (EBIT):	$ M	(134.3)	(119.2)	(77.8)	(62.4)	(1.0)	44.4	103.5
EBIT Margin:	%	(16.0%)	(11.2%)	(5.9%)	(3.9%)	(0.1%)	2.0%	4.0%
Beginning NOL Balance:	$ M	645.7	780.0	899.2	977.0	1,039.4	1,040.4	996.0
(+) NOLs Created:	$ M	134.3	119.2	77.8	62.4	1.0	-	-
(-) NOLs Used:	$ M	-	-	-	-	-	(44.4)	(103.5)
Ending NOL Balance:	$ M	**780.0**	**899.2**	**977.0**	**1,039.4**	**1,040.4**	**996.0**	**892.5**
NOL-Adjusted Operating Income:	$ M	**(134.3)**	**(119.2)**	**(77.8)**	**(62.4)**	**(1.0)**	**-**	**-**
(-) Cash Taxes:	$ M	-	-	-	-	-	-	-
Net Operating Profit After Tax (NOPAT):	$ M	**(134.3)**	**(119.2)**	**(77.8)**	**(62.4)**	**(1.0)**	**44.4**	**103.5**
Adjustments for Non-Cash Charges:								
(+) Depreciation & Amortization:	$ M	50.4	79.8	94.8	108.1	120.8	128.8	147.4
% Revenue:	%	6.0%	7.5%	7.2%	6.8%	6.4%	5.8%	5.7%
(+/-) Change in Working Capital:	$ M	(33.1)	(9.0)	(5.8)	(4.1)	(5.3)	(6.8)	(7.3)
% Change in Revenue:	%	9.2%	(4.0%)	(2.3%)	(1.5%)	(1.8%)	(2.0%)	(2.0%)
(-) Capital Expenditures & Acquisitions:	$ M	(79.2)	(167.4)	(160.4)	(142.8)	(150.5)	(170.9)	(194.0)
% Revenue:	%	(9.4%)	(15.8%)	(12.3%)	(9.0%)	(8.0%)	(7.7%)	(7.5%)
Annual Unlevered Free Cash Flow:	$ M	**(196.3)**	**(215.8)**	**(149.2)**	**(101.1)**	**(35.9)**	**(4.6)**	**49.6**
Growth Rate:	%	*N/A*	*10.0%*	*(30.9%)*	*(32.2%)*	*(64.5%)*	*(87.3%)*	*(1188.8%)*

As a result of this NOL treatment, we also needed to include them in the Implied Enterprise Value calculations if an NOL balance remained at the end of this 15-year DCF:

Terminal Value - Perpetuity Growth Method:	
Expected Long-Term GDP Growth:	2.00%
Baseline Terminal FCF Growth Rate:	1.00%
Baseline Terminal Value:	$ 3,537.7
Implied Terminal EBITDA Multiple:	4.4 x
(+) PV of Terminal Value:	858.9
(+) PV of Year 15 NOL Balance:	-
(+) Sum of PV of Free Cash Flows:	52.5
Implied Enterprise Value:	**911.4**
% of Implied TEV from Terminal Value:	*94.2%*
(+) Cash & Cash-Equivalents:	355.2
(+) Financial Investments:	-
(+) Equity Investments:	34.4
(+) Other Non-Core Assets, Net:	-
(+) Net Operating Losses:	-
(-) Total Debt & Finance Leases:	(271.2)
(-) Preferred Stock:	-
(-) Operating Leases:	-
(-) Noncontrolling Interests:	(5.3)
(-) Unfunded Pensions:	-
Implied Equity Value:	**1,024.5**
Diluted Shares Outstanding:	31.413
Implied Share Price from DCF:	**$ 32.61**
Premium / (Discount) to Current:	**0.7%**

Since the company is unprofitable and cash flow-negative for so many years, the entire DCF is highly dependent on the Terminal Value ~15 years into the future.

NOLs are not in the bridge because we factored them into UFCF directly in the projections.

The Diluted Share Count is based on the Parent's Shares * Distribution Ratio PLUS the additional shares created by the TZS minority investment.

The results are unsurprising: Maxeon is valued appropriately according to the Public Comps and DCF, while SunPower seems wildly undervalued.

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Sum-of-the-Parts Analysis

If you already have the separate projections and valuations for the Parent Company and Spun-Off Company, the Sum-of-the-Parts Analysis should be simple… in theory.

In reality, it's tricky because you must make judgment calls about **which multiples** to use, **which ranges** of the DCF valuations to use, and so on.

In this analysis, we focus on the **revenue multiples** and use the **DCF output** to "sanity check" the multiples. The first step is to link in the Implied Enterprise Values:

Business Segment	Applicable Figure	25th Percentile Multiple	75th Percentile Multiple	Implied Enterprise Value Range	
SunPower Corporation - Standalone					
TEV / Revenue - FY21:	$ 1,397.8	4.9 x	5.0 x	$ 6,802.4	$ 6,976.4
TEV / Revenue - FY22:	1,639.0	4.3 x	4.3 x	6,979.9	7,008.2
15-Year Unlevered DCF Analysis:				3,215.7	4,054.8
(Terminal FCF Growth Rate of 0.50% to 1.50% and WACC of 9.10% to 8.10%)					
Blended Average Range:				**5,053.4**	**5,523.5**
Value of TOTAL SE's Stake @ Current Equity Value:					
Value of TOTAL SE's Stake @ Implied Equity Value:					
Maxeon Solar Technologies, Ltd. - Standalone					
TEV / Revenue - FY21:	1,061.0	0.5 x	1.1 x	571.3	1,152.2
TEV / Revenue - FY22:	1,308.9	0.5 x	0.9 x	622.5	1,201.5
15-Year Unlevered DCF Analysis:				741.6	1,122.4
(Terminal FCF Growth Rate of 0.50% to 1.50% and WACC of 10.40% to 9.40%)					
Blended Average Range:				**669.3**	**1,149.7**

"Blended" means "Average the Implied TEVs from both revenue multiple methodologies and then average that with the implied TEVs from the DCF."

Then, we add both "Blended Average" TEVs and adjust for corporate overhead to get the Combined Enterprise Value. Then, we factor in the *original company's* bridge items to get the Combined Equity Value.

Finally, we divide by the *combined share count* to get the range of Implied Share Prices.

The annotated screenshot below lays out the process more clearly:

	A	B	C	D	E	F	G
20							
21		**Blended Average Range:**				**5,053.4**	**5,523.5**
22							
23		Value of TOTAL SE's Stake @ Current Equity Value:					
24		Value of TOTAL SE's Stake @ Implied Equity Value:					
25							
26		**Maxeon Solar Technologies, Ltd. - Standalone**					
27		TEV / Revenue - FY21:	1,061.0	0.5 x	1.1 x	571.3	1,152.2
28		TEV / Revenue - FY22:	1,308.9	0.5 x	0.9 x	622.5	1,201.5
29		15-Year Unlevered DCF Analysis:				741.6	1,122.4
30		(Terminal FCF Growth Rate of 0.50% to 1.50% and WACC of 10.40% to 9.40%)					
31							
32		**Blended Average Range:**				**669.3**	**1,149.7**
33							
34		Value of TOTAL SE's Stake @ Current Equity Value:					
35		Value of TOTAL SE's Stake @ Implied Equity Value:					
36							
37		(-) Adjustment for Corporate Overhead:				-	-
38							
39		**Combined Enterprise Value:**				=F21+F32+F37	
40		(+) Cash & Cash-Equivalents:				464.8	464.8
41		(+) Financial Investments:				-	-
42		(+) Equity Investments:				226.6	226.6
43		(+) Other Non-Core Assets, Net:				-	-
44		(+) Net Operating Losses:				56.3	56.3
45		(-) Total Debt & Finance Leases:				(940.7)	(940.7)
46		(-) Preferred Stock:				-	-
47		(-) Operating Leases:				-	-
48		(-) Noncontrolling Interests:				(11.3)	(11.3)
49		(-) Unfunded Pensions:				-	-
50		**Combined Equity Value:**				**5,518.5**	**6,468.9**
51							
52		Combined Share Count of Parent and Sub:				199.936	199.936
53							
54		**Range of Implied Share Prices:**				**$ 27.60**	**$ 32.36**
55		Premiums to Current Share Price:				224.0%	279.8%

We have already reallocated corporate overhead and added "dis-synergies," so there is no additional adjustment.

But in a more standard analysis, we would **capitalize** the additional corporate overhead expense and include it here.

The bridge is based on SunPower's Balance Sheet *before* the spin-off because we're trying to assess its per-share value today if the separate divisions were valued appropriately.

We use the *combined* share count because the SunPower shareholders could not capture this value *without* the dilution that comes from the spinoff.

If you get one of these adjustments wrong, it's not the end of the world because these companies are dramatically undervalued no matter what you do.

As part of this exercise, we also value Total SE's ~52% stake in SunPower and ~35% Stake in Maxeon based on their Implied Equity Values and determine that these stakes would be worth far more after the spinoff.

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Interview Questions

You stand a better chance of being struck by lightning than getting detailed questions about spinoff deals in interviews, so we present this section mostly so you can test your knowledge and review the key concepts.

If you've worked on a spinoff or similar M&A deal, these topics are more likely to come up. If they do, the interviewer will likely focus on the conceptual questions rather than the math and financial statement adjustments.

Motivations and Transaction Assumptions

These questions are the most likely ones because they do not depend on specialized analyses or obscure knowledge about financial statement adjustments.

1. Why would a company spin off a division or business unit?

In most cases, **valuation** is the primary motivation. For example, the company believes that the market currently undervalues it and that its total value would be higher as separate, pure-play businesses in specific industries.

The company might also believe that the spun-off division could achieve its performance goals more effectively as an independent entity.

2. How are spinoffs different from carve-outs, divestitures, and split-offs?

In a spinoff, the Parent Company creates a new public entity for one of its subsidiaries and distributes shares in this new subsidiary *for free* to its existing shareholders. Not only is it tax-free in most cases, but it also lets shareholders "double dip" because they retain their shares in the parent while also getting shares in the Spun-Off Co.

A **split-off** is similar, but the shareholders must **choose** between getting shares in the Spun-Off Co. or retaining their shares in the Parent.

In a **carve-out**, the Parent sells shares in the subsidiary by taking it public via a traditional IPO process, so the new company raises additional capital in the deal, and the existing shareholders do not get any shares for free (though they can buy shares in the IPO).

A **divestiture** refers to the *sale* of a division to another company or financial sponsor, so it is not turned into a separate publicly traded entity. It is more like a traditional M&A deal but with tweaks to the division's financials to reflect its new profile as an independent entity.

3. Why might a spinoff look more favorable on paper than in reality?

First, there's no guarantee that the total value of the Parent Company + Spun-Off Company will be higher post-transaction; the valuation multiples from pure-play companies in the industry might point to this outcome, but anything could happen in real life.

For example, pure-play companies in one segment may trade at 10 – 12x EBITDA multiples, but the Spun-Off Company in the deal you're analyzing trades at only 6 – 8x because it is perceived as riskier or lower growth.

Also, people often fail to properly account for the **additional corporate overhead and dis-synergies** when companies separate. These additional expenses reduce cash flows and profit margins, and they often end up being higher than expected.

4. What does the Distribution Ratio in a spinoff represent?

The **Distribution Ratio** represents the number of shares in the Spun-Off Company that shareholders receive for each 1 share of the Parent Company they currently own. For example, if it's a 4:1 Distribution Ratio, a shareholder with 100 shares in the Parent retains those 100 shares *and* gets 400 shares in the Spun-Off Company.

The Distribution Ratio * Parent's Share Count * Proposed Share Price gives you the Spun-Off Company's initial Equity Value after the deal takes place – but this often changes significantly as the market reacts.

5. Why might a Spun-Off Company raise additional Debt or Equity at the time of the deal?

This happens most frequently when the Spun-Off Company is cash flow-negative and depends on the Parent for funding. It won't be able to do this post-transaction, so it often raises additional capital in the deal and plans to keep raising funds as needed afterward.

6. Wait a minute. If the Spun-Off Company raises additional capital in the deal, is it still a spinoff? Wouldn't it be a carve-out in that case?

No. To be a spinoff, the Parent's shareholders must get a certain number of shares in the Spun-Off Company *for free* while retaining all their shares in the Parent. Raising additional capital from other investors at the time of the spinoff does not make it a different deal type.

It would be a carve-out only if the Parent's shareholders did *not* get Spun-Off Co shares for free and Spun-Off Co instead sold shares *only* via the IPO process.

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Financial Statement Adjustments

These questions are more technical, so they are likely to come up only if you have worked on a spinoff or similar deal.

1. What are the main adjustments you make to each company's Balance Sheet in a spinoff?

First, you should reflect all the **transferred** Assets and Liabilities, which means most of the Parent Company's numbers will decrease (though there may be exceptions in certain deals).

Equity for each company should be adjusted based on all the adjustments to the Net Assets; for example, if the Spun-Off Company's Assets are adjusted up by $100, but its Liabilities are only adjusted up by $40, its Equity should be adjusted up by $60 so the Balance Sheet balances.

For the Parent Company, you should also **debit** (deduct) the Spun-Off Company's entire Common Shareholders' Equity balance within Equity.

Beyond these, you'll also adjust for transferred/paid/received Cash, Debt, and other financing items and additional capital raised in the deal.

2. What are the "Transaction-Adjusted Equity Value" and "Transaction-Adjusted Enterprise Value", and why are they important in spinoffs?

For the Spun-Off Company, the Transaction-Adjusted Equity Value equals the Parent's Share Count * Distribution Ratio * Proposed Share Price, plus adjustments for any additional Equity capital raised in the deal.

The Transaction-Adjusted Enterprise Value equals this Transaction-Adjusted Equity Value plus/minus the usual items in the bridge, but you should apply the transaction-related adjustments to the company's most recent Balance Sheet.

For the Parent Company, the Transaction-Adjusted Equity Value equals its Current Equity Value minus the Spun-Off Company's *Distribution Value*, or Parent's Share Count * Distribution Ratio * Proposed Share Price (i.e., do **not** include any other capital raised in the deal).

The Transaction-Adjusted Enterprise Value is based on the normal bridge items plus the transaction adjustments.

These metrics are important because the **valuation multiples** for the separated companies are based on them, and the separate DCF analyses also use these bridge items to move from Implied Enterprise Value to Implied Equity Value.

3. What are the most common Income Statement and Cash Flow Statement adjustments for the companies involved in a spinoff?

First, you reallocate the revenue, expenses, and cash flow line items, such as CapEx, from one company to the other. The Parent's numbers usually fall significantly if the Spun-Off Company is substantial.

Second, if the Parent was funding the Spun-Off Company, you remove all the line items related to that, including the additional Debt and Equity funding and the additional Interest Expense and Shares Issued.

Finally, you recalculate the Taxes for each company as a separate entity, which is important in the case of financing changes or different corporate headquarters.

4. Does EPS accretion/dilution mean anything in a spinoff?

While you can calculate EPS accretion/dilution for the Parent Company in a spinoff, it does not mean much and is rarely a key motivation for deals.

The main problem is that in a spinoff, the Parent Company does not "sell" a subsidiary and record a Gain or Loss; instead, it *separates* the Spun-Off Company's financials and creates and distributes shares in this new entity.

So, unlike in a traditional M&A deal, where you can compare the weighted average acquisition cost to the Target's yield, there's no "basis for comparison" in a spinoff.

EPS accretion/dilution mostly tells you whether the Spun-Off Company had higher or lower margins than the Parent.

5. Suppose that a Spun-Off Company needs additional funding post-transaction for its operations. What is the likely valuation impact?

It depends on the valuation method. Enterprise Value-based multiples from the comparable companies should not produce different results because Enterprise Value is capital structure-neutral. However, Equity Value-based multiples, like P / E, change based on the financing structure, and they could increase or decrease depending on the planned amounts of Debt and Equity and the company's current capital structure.

However, you will see the biggest impact in a DCF because if the company's cash flows are *negative*, they will reduce its implied value, and if its Debt and Equity keep changing as it raises more capital, that will affect its WACC. You may even assume a changing WACC over the forecast period to reflect this.

For example, if the company keeps issuing 100% Equity to offset its negative cash flow, its WACC will likely **increase** because Equity is more expensive than Debt. Therefore, its implied value from the DCF will **decrease** due to this higher/rising WACC.

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Spinoff Valuation

The main point of a spinoff is to achieve a **higher total valuation**, so these valuation-related questions are more likely than those in the previous section.

1. How do you value each new company separately in a spinoff?

The same way you value any other company: With comparable companies, precedent transactions, and a DCF. You may place less weight on the precedent transactions or skip them since they're less relevant for valuing newly formed public entities.

Other than that, the main difference is that your forecasts must include the transaction adjustments for both companies, such as additional corporate overhead, dis-synergies, and the impact of additional Debt and Equity financing (if applicable).

2. What is the MOST LIKELY reason why DCF-based valuations of the separate companies in a spinoff might produce very different results from valuations based on revenue multiples?

The most likely reason is that simple revenue multiples do not account for changes in corporate overhead, dis-synergies, and outside financing, while a proper long-term DCF includes all of these.

Revenue multiples capture differences in *growth rates* after the spinoff, which is useful, but valuation is ultimately based on the long-term cash flows, so the other items are also critical.

3. Walk me through a Sum-of-the-Parts valuation to assess a spinoff.

In a Sum-of-the-Parts (SOTP) valuation, you start by valuing the standalone Parent Company and the Spun-Off Company separately via the normal methodologies.

You then use these to establish a range of Implied Enterprise Values for each division, which might be based on the 25th to 75th percentile valuation multiples or a similar percentile output range in the DCF sensitivities.

Then, you add these Implied Enterprise Values together, deduct the corporate overhead's capitalized value (which varies widely), and factor in the normal bridge items to calculate the Implied Equity Value.

Finally, you divide this by the total share count, or Parent's Shares * (1 + Distribution Ratio), to see if the Implied Share Price for the companies as separate entities might be higher than the Parent's current price.

4. How does the corporate overhead adjustment work? When is it most/least useful?

The corporate overhead adjustment is based on the additional expenses the companies as separate entities must spend on functions like accounting, IT, and HR. The rationale is that operating two smaller, independent entities usually costs more than one larger entity.

If these adjustments are not already included in the companies' projected financials, you should estimate the total amount of additional corporate overhead and capitalize it based on a valuation multiple in-line with the profitability-based multiples from the peer companies (e.g., 10x if the median EBITDA multiple is 10x).

The Implied Equity Value then equals Parent Co. Implied Enterprise Value + Spun-Off Co. Implied Enterprise Value – Capitalized Value of Corporate Overhead.

This adjustment is most important in a standard SOTP valuation when you have *not* yet created full projections for each company as a separate entity; if you already have them, including additional overhead and dis-synergies, you may not even need this separate adjustment.

5. Which TEV bridge items and share counts should you use in the SOTP analysis?

The "bridge" at the end of a SOTP valuation for a spinoff should be based on the Parent Company's Balance Sheet *before the deal takes place* because the point of a SOTP valuation is to say, "What would this company be worth to shareholders today if each division's Enterprise Value were different, but the entire company's Balance Sheet remained the same?"

However, even if you used the separate companies' bridges and added them together, there shouldn't be much difference (in theory).

The share count should be based on the *total shares* after creating new shares for the Spun-Off Company via the Distribution Ratio, i.e., Parent Share Count * (1 + Distribution Ratio).

The rationale is that the existing shareholders can **capture** this increased value only if the spinoff takes place and additional shares are created, so you must assume some dilutive effect to make a proper comparison.

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